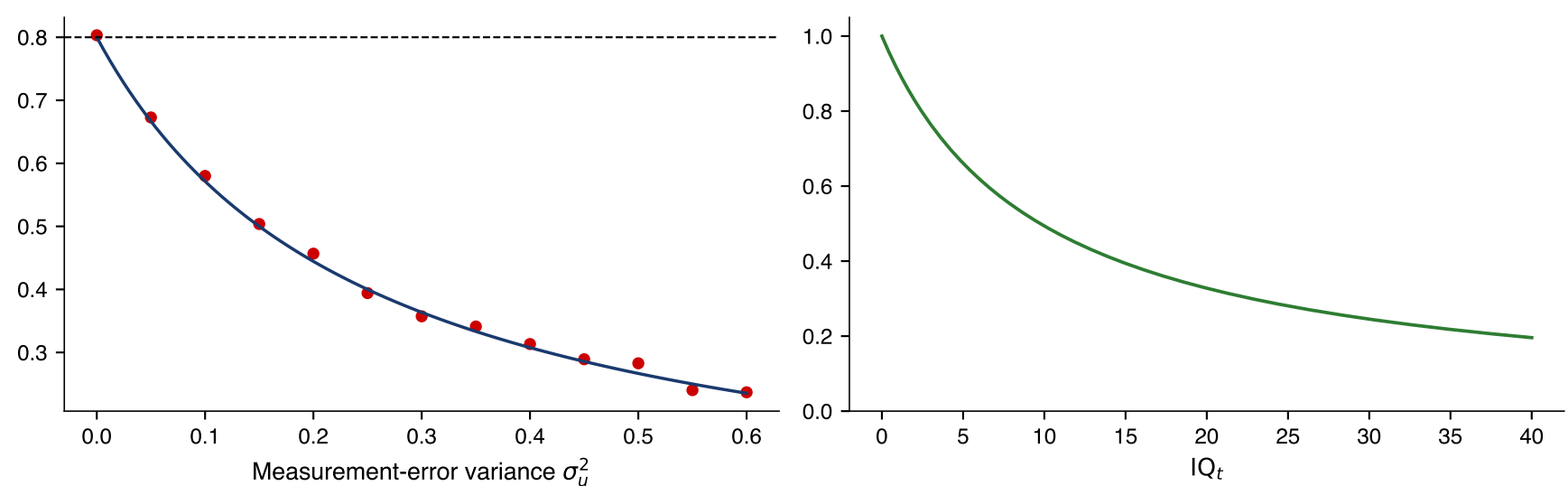




- Simulated OLS slope
- True slope $\beta = 0.8$
- $\text{plim: } \beta \text{Var(IV)}/(\text{Var(IV)} + \sigma_u^2)$
- Weight $\lambda = \sigma_{IV}^2/(\sigma_{IV}^2 + 2 IQ_t/M)$, $M = 78$ (illustration)